United States Then, Europe Now:

Competing Assumption Plans and the Fiscal Foundations of Federalism

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Abstract

This paper reformulates the fiscal history of American federalism by emphasizing a dimension neglected in Sargent [2012]: the symmetric competition between state and federal governments in the 1780s to assume debts and thereby attach creditor interests to their respective levels of government. Drawing on Ferguson [1961] and Rothbard [2019], I characterize the 1780s as a contest between two self-reinforcing equilibria—a state-dominant equilibrium under the Articles of Confederation and a federal-dominant equilibrium under the Constitution—and argue that Hamilton's 1790 assumption plan was the decisive move in this contest. I then analyze Congress's refusal to assume state debts in the 1840s as the event that clarified the 1790 settlement was a one-time constitutional bargain, not a permanent insurance scheme. The reformulation yields sharper lessons for contemporary debates about European fiscal integration.

1 Introduction

The fiscal crisis of the 1780s generated competing institutional responses from state and federal actors, each designed to attach creditor interests to their level of government. Understanding Hamilton's ultimate success requires recognizing that he defeated not just inertia or the inadequacies of the Articles of Confederation, but active state-level strategies pursuing an alternative fiscal equilibrium. The battle over assumption was fundamentally about which level of government would control fiscal capacity and thereby shape the future structure of American federalism.

Several states pursued aggressive policies to assume Continental securities held by their residents, creating creditor constituencies that would naturally oppose transferring taxing authority to a federal government. These state assumption plans represented a coherent Anti-Federalist strategy: if successful, they would have preserved the Articles of Confederation's decentralized allocation of fiscal powers. Hamilton's federal assumption plan was the

Nationalist counter-strategy, designed to reverse state assumption and consolidate creditor support behind the federal government.

The paper proceeds as follows. Section 2 sets out a budget-constraint framework that defines what "competing equilibria" means in this context. Section 3 documents the state-versus-federal competition for creditor allegiance in the 1780s, including the politically explosive discrimination debate and the sinking-fund commitment mechanism. Section 4 analyzes the 1840s state debt crisis and Congress's refusal to extend the 1790 precedent. Section 5 draws lessons for contemporary fiscal unions, particularly the eurozone.

2 Framework: Government Budget Constraints and Equilibrium Selection

Consider a government that issues one-period debt and whose net-of-interest surplus follows a stochastic process $\{s_t\}$. A government budget constraint at date t equates the market value of outstanding debt to the expected present value of future surpluses:

$$b_t = \sum_{i=0}^{\infty} R^{-(i+1)} \, E_t(s_{t+1+i}) \,, \tag{1}$$

where b_t is the real market value of government debt and $R > 1$ is the gross risk-free interest rate.[1]

The key observation is that the surplus process $\{s_t\}$ is not exogenous. It depends on fiscal institutions—which level of government controls which revenue sources, what constraints govern borrowing, and how creditors' expectations about repayment shape the political sustainability of taxation. Different institutional arrangements produce different surplus processes and therefore sustain different levels and compositions of debt. This is what makes multiple equilibria possible.

Two points about (1) deserve emphasis. First, the equation is an *accounting identity* that holds in any non-default equilibrium; it does not by itself constitute a theory of equilibrium selection. Second, the interesting economics lies entirely in the determination of $\{s_t\}$: which taxes are levied, by whom, and with what political support. I use the framework to organize the historical narrative, not as a formal model of the coordination game between creditors

[1] Equation (1) is a present-value budget constraint, not a behavioral equation. It must hold in any equilibrium in which the government does not default. I use it here as a diagnostic: a proposed fiscal arrangement is sustainable if and only if there exists a surplus process $\{s_t\}$ for which (1) is satisfied at prices acceptable to creditors.

and competing levels of government.[2]

3 The Battle for Creditor Allegiance: State vs. Federal Assumption

3.1 The Logic of State Assumption

During the 1780s, several states pursued policies designed to strengthen state government relative to the Confederation Congress by assuming Continental securities held by their residents. Ferguson [1961, pp. 237–239] documents that Pennsylvania led these efforts, having assumed approximately $2 million in Continental debt by 1785. New York and Massachusetts followed similar strategies. These were not ad hoc policies but represented a coherent vision of American federalism.

The economic logic mirrored what Hamilton would later employ at the federal level: creditors who received payment from state governments would become advocates for preserving state taxing authority. By converting Continental creditors into state creditors, these states were implementing a strategy to maintain fiscal sovereignty. If states successfully assumed most Continental debt owed to their citizens before any constitutional revision, creditors would have opposed transferring tariff authority to the federal government—their bonds were already being serviced by state revenues, and federal assumption would have been unnecessary from their perspective.

Rothbard [2019, ch. 48] emphasizes that this represented the Anti-Federalist economic program: a confederation of sovereign states, each with its own fiscal capacity, voluntarily cooperating but retaining ultimate authority over taxation and expenditure. The assumption of Continental debt by individual states was intended to demonstrate that state governments could handle the fiscal responsibilities that Nationalists claimed required a strong central government.

3.2 The Scale and Mechanics of State Assumption

Ferguson [1961] provides quantitative evidence of the scope of state assumption efforts:

[2] A full formalization would require a coordination-game setup in which creditors' expectations about which level of government will service debt are self-fulfilling: lending to the federal government makes federal revenues more politically sustainable, which validates the lending. Such a model would feature strategic complementarities of the type analyzed by Cooper and John [1988]. I leave this formalization for future work.

- **Pennsylvania**: By 1785, Pennsylvania had assumed approximately $2 million in Continental loan certificates and final settlement certificates held by Pennsylvania residents. The state funded these obligations by issuing state bonds backed by revenues from excise taxes and land sales.

- **New York**: New York assumed Continental securities and funded them through state tariff revenues—the very revenue source that would later be transferred to the federal government under the Constitution.

- **Massachusetts**: Massachusetts attempted extensive assumption but struggled with the tax burden this created, contributing to Shays' Rebellion in 1786–1787 (see Section 3.7 below).

- **Virginia and Maryland**: These states paid substantial sums on Continental debt through their contributions to Congress, though they employed different accounting mechanisms [Ferguson, 1961, pp. 248–251].

The variation in state approaches is itself revealing. States with stronger fiscal capacity and more active commerce (Pennsylvania, New York, Massachusetts) could more credibly pursue assumption strategies. Southern states faced greater difficulties, which partially explains the regional divisions at the Constitutional Convention.

3.3 Two Competing Equilibria

Two stable institutional outcomes were possible, each corresponding to a different fiscal structure and a different stochastic process for government surpluses.

3.3.1 State-Dominant Equilibrium

In this equilibrium:

1. States progressively assume Continental debt owed to their residents through the late 1780s.

2. State governments retain tariff authority and other revenue sources as specified under the Articles of Confederation.

3. Each state j generates its own surplus process $\{s_{jt}\}$ for servicing debt.

4. The federal government remains weak, with insufficient surplus to service significant debt.

5. Creditors rationally support state fiscal authority because their bonds are serviced from state revenues.

The budget constraint (1) then applies at the state level:

$$b_{jt} = \sum_{i=0}^{\infty} R^{-(i+1)} \, E_t(s_{j,t+1+i}), \tag{2}$$

where b_{jt} is debt issued by state j (including assumed Continental debt) and $s_{j,t+i}$ is state j's net-of-interest surplus.

3.3.2 Federal-Dominant Equilibrium

In this equilibrium:

1. The federal government assumes state war debts through Hamilton's plan.
2. The federal government acquires tariff authority through the Constitution.
3. Federal tariff revenues generate the surplus process $\{s_t^{\text{fed}}\}$.
4. State creditors become federal creditors and rationally support federal taxation.

Here the budget constraint applies at the federal level:

$$b_t^{\text{fed}} = \sum_{i=0}^{\infty} R^{-(i+1)} \, E_t(s_{t+1+i}^{\text{fed}}), \tag{3}$$

where b_t^{fed} includes both original Continental debt and assumed state debts.

3.4 The Discrimination Debate and the Politics of Creditor Allegiance

Any account of the 1790 assumption centered on creditor allegiance must confront the politically explosive question of *which* creditors would benefit. By 1790, a large fraction of Continental and state securities had been transferred from their original holders—soldiers, farmers, suppliers who had accepted certificates during the war—to secondary purchasers, many of them wealthy speculators who had bought at steep discounts, often 15–25 cents on the dollar [Ferguson, 1961, pp. 271–275].

Madison proposed *discrimination*: paying current holders the prevailing market price and distributing the remainder to original holders. Hamilton opposed discrimination on

several grounds. Operationally, tracing original holders would be prohibitively costly. But the deeper argument was about capital-market credibility. If the government discriminated against current holders, it would undermine the transferability and hence the market value of government securities—destroying precisely the liquid public debt market that Hamilton sought to create as the foundation of federal fiscal capacity.

Hamilton prevailed: the Funding Act of 1790 paid current holders at par. This decision had immense distributional consequences, transferring wealth to speculators at the expense of original holders. But it also established that US federal securities were fully transferable claims, serviced without regard to the identity of the holder. This was essential for creating a deep and liquid market in federal debt—the financial foundation of the federal-dominant equilibrium.

The discrimination debate reveals why the competition for creditor allegiance could not be separated from questions about the character of public debt itself. The state-dominant equilibrium, with thirteen separate and relatively illiquid state debt markets, would have looked very different from Hamilton's vision of a single, nationally traded federal security.

3.5 The Sinking Fund as Commitment Device

Hamilton complemented assumption with a sinking fund, established under the Act of August 12, 1790. The fund was charged with using surplus revenues to retire debt through open-market purchases, and its operations were governed by a board of commissioners that included the Vice President, the Chief Justice, and the Secretary of the Treasury.

The sinking fund served as a commitment device. By earmarking revenues for debt retirement and placing the fund under a high-profile board, Hamilton made it politically costly for future Congresses to divert debt service revenues to other purposes. This was a direct response to the credibility problem that the Confederation Congress had faced: even when Congress resolved to service the debt, it lacked institutional mechanisms to bind itself [Ferguson, 1961, pp. 220–225].

In the language of the framework in Section 2, the sinking fund was a device to make the surplus process $\{s_t^{\text{fed}}\}$ more credible—not by increasing surpluses mechanically, but by constraining the political process that determined them.

3.6 The Constitutional Convention as Coordination Device

The Constitutional Convention and Hamilton's 1790 assumption plan represented a coordinated move to the federal-dominant equilibrium. But this required overcoming the partial progress states had already made toward the alternative equilibrium.

Ferguson [1961, pp. 289–291] documents the intense political struggle this created. States that had assumed Continental debt or taxed their citizens heavily to pay their own debts felt entitled to credit for those payments. This reflected the reality that these states had already moved partway toward the state-dominant equilibrium by creating creditor constituencies attached to state government.

Madison's initial opposition to Hamilton's assumption plan is illuminating. Virginia had substantially reduced its debt through taxation, and Madison argued that federal assumption would reward states that had been fiscally irresponsible while penalizing Virginia's taxpayers who had already shouldered their burden.

The famous compromise that moved the national capital to the Potomac in exchange for assumption votes was necessary precisely because Hamilton was attempting to reverse institutional momentum toward state-level fiscal consolidation. The accounting system that Hamilton established to credit states for their prior payments [Ferguson, 1961, pp. 293–297] was essential for overcoming resistance from states that had already moved toward the state-dominant equilibrium.

3.7 Why the Federal Equilibrium Prevailed

Several factors explain Hamilton's success in establishing the federal-dominant equilibrium:

1. **Shays' Rebellion and distributional conflict**: Massachusetts's experience demonstrated not that individual states lacked fiscal *capacity*—Massachusetts could and did raise revenue—but that the *political economy* of state-level debt service was fragile. The burden of hard-money taxes fell disproportionately on illiquid western farmers, provoking armed revolt in 1786–1787. The rebellion frightened creditors and elites generally: even where states could tax, the distributional conflict could make debt service politically unsustainable [Ferguson, 1961, pp. 243–245]. This distinction matters for the European analogy, where peripheral eurozone states often have fiscal capacity but face intense political resistance to austerity.

2. **Trade policy coordination problems**: Britain could play individual states against each other in trade negotiations. The inability to mount a coordinated trade policy revealed a fundamental weakness of decentralized fiscal authority.

3. **Economies of scale in debt service**: Federal consolidation allowed a single debt instrument trading in a unified market, reducing transaction costs and improving liquidity compared to thirteen separate state debt markets.

4. **Foreign creditor preferences**: Foreign creditors (French and Dutch) held primarily Continental rather than state debt and preferred dealing with a single federal counterparty [Ferguson, 1961, pp. 251–253].

5. **Speed and coordination**: Hamilton moved quickly after ratification. The Acts of August 4 and 5, 1790, were passed less than 18 months after Washington's inauguration, before state assumption plans could advance further.

Rothbard [2019, ch. 73] offers a more critical interpretation: the federal equilibrium prevailed because a coalition of creditors, merchants dependent on trade, and land speculators successfully captured the constitutional process. Whether one accepts this normative assessment or not, the account usefully emphasizes that multiple equilibria were genuinely possible and that the outcome reflected political power rather than economic inevitability.

3.8 Implications for Understanding the 1790 Assumption

Hamilton's 1790 assumption plan was not simply a generous bailout, a reward for wartime contributions, or a device to create federal fiscal capacity where none existed. Rather, it was:

- A strategic move to win the competition for creditor allegiance.
- A reversal of state-level policies creating alternative creditor constituencies.
- Part of a coordinated institutional transformation (Constitution + assumption + sinking fund) designed to shift to the federal-dominant equilibrium.
- Compensation to states that had moved toward the state-dominant equilibrium, inducing them to accept the new federal structure.

4 The 1840s State Debt Crisis

4.1 The Federal Assumption Debate of the 1840s

The state debt crisis of the early 1840s must be understood against the background of the 1790 precedent. Many states had borrowed heavily in the 1830s to finance infrastructure projects—canals, roads, railroads. During the recession at the end of the 1830s, nine states defaulted on their debts, and several repudiated them entirely.

European creditors who had purchased these state bonds invoked the 1790 precedent and demanded federal assumption. But they fundamentally misunderstood what the 1790

assumption had represented. The 1790 assumption settled a constitutional dispute over fiscal federalism by converting creditors of both Continental and state governments into federal creditors, as part of a bargain that also transferred fiscal authority to the federal level. A federal assumption in the 1840s would have created a permanent guarantee of state debt undertaken for state purposes, with no constitutional transformation to justify it.

4.2 The Congressional Debate

Ratchford [1941, pp. 165–198] documents the 1840s congressional debates in detail. Advocates of assumption explicitly cited Hamilton's 1790 plan as precedent. Representative Aaron Vanderpoel of New York argued that the federal government had a moral obligation to extend the same treatment to states in the 1840s that it had provided in 1790.

Opponents successfully argued that the situations were fundamentally different:

1. Most Continental and state debts assumed in 1790 had been incurred to finance a common national enterprise—the War for Independence.

2. The 1790 assumption was part of a grand constitutional bargain in which states surrendered their most important revenue source (tariffs) to the federal government.

3. The 1790 assumption was a one-time constitutional settlement, not the beginning of a permanent insurance scheme.

By contrast, the debts of the 1830s had been incurred for state-specific infrastructure projects. There was no national enterprise justifying federal responsibility. Moreover, many states had borrowed imprudently, sometimes based on inflated projections of revenues from the very projects being financed. Federal assumption would create a moral hazard problem: once states understood that the federal government would ultimately assume their debts, they would have incentives to borrow excessively. This is the logic that Kareken and Wallace [1978] later formalized in their analysis of deposit insurance, showing that underpriced government insurance creates incentives for excessive risk-taking.[3]

The key congressional opponent was Representative James Garland of Virginia, who argued that assumption would establish a dangerous precedent encouraging future state profligacy [McGrane, 1935, ch. 9].

[3]Kareken and Wallace's precise formulation concerns the incentives of insured banks, not states. But the structural parallel is close: in both cases, a higher-level government guarantee of lower-level obligations undermines the lower-level entity's incentive for fiscal discipline.

4.3 The Decision and Its Consequences

Congress rejected federal assumption.

Immediate effects. The federal government's reputation in European credit markets suffered temporarily: European creditors did not immediately distinguish between federal and state creditworthiness, so the state defaults increased federal borrowing costs. Nine states defaulted (Arkansas, Florida, Illinois, Indiana, Louisiana, Maryland, Michigan, Mississippi, and Pennsylvania), and several eventually repudiated portions of their debt (Arkansas, Florida, Michigan, and Mississippi). Over subsequent years, creditors learned to distinguish between federal bonds (which had never defaulted) and state bonds (which carried real default risk).

Long-run institutional effects. More importantly, Congress's refusal triggered constitutional reforms at the state level that persist to this day. Adams [1887] and Wallis [2005] document how, in response to the defaults and the absence of federal backstops, voters in more than half the states rewrote their constitutions in the 1840s and 1850s to impose balanced budget requirements and debt limitations:

- Limits on borrowing for operating expenses (as distinct from capital projects).
- Requirements for voter approval of new debt issuance.
- Debt ceilings as fractions of state property values or tax revenues.
- Balanced operating budgets (though definitions varied across states).

These constraints remain central to American federalism. Unlike the federal government, most US states still cannot run sustained operating deficits.

4.4 Reinterpreting the 1840s Episode

The revised narrative helps clarify several aspects of the 1840s crisis:

1. **The 1790 assumption was not a general precedent.** Congress's 1840s refusal clarified that the 1790 assumption had been a one-time settlement of a constitutional dispute, not the establishment of permanent federal insurance for state borrowing.
2. **The refusal prevented moral hazard.** By credibly committing not to bail out states that borrowed for state-specific purposes, Congress avoided the adverse incentives identified by Kareken and Wallace [1978].

3. **The institutional consequences were beneficial.** The state constitutional reforms created sustainable constraints on state fiscal policy—costly ex post for existing creditors, but establishing clear rules for the future.

4. **Federal fiscal authority was reinforced.** By refusing to assume state debts, the federal government paradoxically strengthened the clarity of the 1790 settlement: it would service its own debts faithfully, but it would not be responsible for state debts.

Hamilton's success in establishing the federal-dominant equilibrium meant that by the 1830s, there was no ambiguity about institutional responsibilities. States were sovereign in their own spheres but had no claim to federal fiscal backing. This reinforces a key lesson: *federal assumption of lower-level government debts makes sense when it is part of a constitutional bargain that also transfers fiscal authority to the federal level; it does not make sense as an ongoing insurance arrangement where lower-level governments retain fiscal sovereignty.*

5 Lessons for Europe and Contemporary Fiscal Unions

5.1 Five Lessons from the American Experience

The reformulated historical narrative yields five lessons for contemporary debates about fiscal unions, particularly in Europe.

Lesson 1: Multiple equilibria are possible. The United States did not inevitably become a strong fiscal union. A state-dominant equilibrium under the Articles of Confederation and a federal-dominant equilibrium under the Constitution were both internally coherent. The eurozone faces a similar choice: a decentralized equilibrium with no mutual debt guarantees is feasible, as is a centralized equilibrium with EU-level fiscal authority and comprehensive debt mutualization. Intermediate arrangements—a common monetary policy without fiscal union—may not be sustainable [De Grauwe, 2011].

Lesson 2: Assumption and fiscal authority must move together. The 1790 assumption occurred simultaneously with a transfer of fiscal authority: Congress acquired exclusive tariff authority while assuming state debts. The 1840s refusal confirmed the principle from the opposite direction. European debt mutualization would require a corresponding transfer of fiscal authority to EU institutions—EU-level taxation, enforceable fiscal constraints, EU decision-making about public goods, and reduced member-state sovereignty. Mutualization without these transfers would replicate the 1840s assumption that Congress rejected, not the 1790 settlement that established American federalism [Brunnermeier et al., 2016, ch. 4].

Lesson 3: Timing and path dependence matter. Hamilton moved quickly—the Acts of August 4 and 5, 1790, came only 18 months after Washington's inauguration—before state assumption plans could create more path dependence toward the state-dominant equilibrium. Europe's emergency lending facilities (ESM, OMT) have created de facto fiscal connections among member states without formal fiscal union. The longer this intermediate state persists, the harder it becomes to move cleanly in either direction.

Lesson 4: The purpose of the original debts matters. The 1790 assumption was justified partly because the debts had financed a common national enterprise. The 1840s debts financed state-specific infrastructure and had no comparable collective justification. For Europe, debts incurred for common purposes (pandemic response, common defense) may warrant collective responsibility; debts incurred through national fiscal imprudence have weaker claims to mutualization.

Lesson 5: Credible commitment requires costly demonstrations. Congress's 1840s refusal was costly in the short run—European creditors downgraded all American government bonds. But this short-run cost purchased long-run credibility and induced states to adopt constitutional fiscal constraints. Establishing credible no-bailout commitments in Europe would similarly require allowing defaults when member states borrow imprudently.

5.2 Europe's Choices

The American experience suggests Europe faces a genuine choice between two coherent institutional arrangements, and that the current intermediate state is unlikely to be sustainable indefinitely.

Option A: Genuine fiscal union (the 1790 path). Comprehensive mutualization of existing member-state debts, transfer of significant taxation authority to the EU level, EU-level fiscal capacity, strong constraints on member-state fiscal policies, and a single European treasury issuing Eurobonds. This is internally coherent but requires member states to surrender substantial fiscal sovereignty. It implies a much more integrated political union than currently exists.

Option B: Decentralized confederal system (the reformed Articles path). No mutualization, credible no-bailout commitments demonstrated by allowing defaults when necessary, member-state constitutional constraints on borrowing (analogous to post-1840s US state balanced budget requirements), and regulatory measures to break bank-sovereign

doom loops. This preserves member-state sovereignty but requires accepting occasional sovereign defaults.

The unstable intermediate. Current eurozone arrangements approximate neither Option A nor Option B. The eurozone has a common monetary policy without fiscal union, de facto bailout mechanisms without explicit mutualization, fiscal rules that are not fully credible, and no EU-level taxation. The United States spent less than a decade in a comparable intermediate state (Articles of Confederation, 1781–1788) before political crisis forced a choice. Europe has maintained its intermediate state much longer, perhaps because costs have been distributed gradually—slow growth, high unemployment, periodic crises—rather than concentrated in a single dramatic event [Brunnermeier et al., 2016, Henning and Kessler, 2012].

5.3 Important Differences Between the 1780s and Today

Several differences between the 1780s United States and contemporary Europe affect the applicability of these lessons. Table 1 summarizes them.

Table 1: Key differences between the 1780s US and contemporary Europe

Dimension	**US, 1780s–1790**	**Eurozone, post-1992**
Initial debt levels	∼40% of GDP; incurred for a common national purpose	Higher % of GDP; incurred for diverse national purposes
Political integration	Shared language, legal traditions, political culture, recent revolutionary experience	Greater cultural, linguistic, and institutional diversity
Labor mobility	High interstate mobility	Low cross-border mobility
Government size	Federal expenditures ∼1–2% of GDP	National governments ∼40–50% of GDP
Social insurance	Minimal; not a source of fiscal heterogeneity	Extensive and varying pension, health, and welfare systems
Democratic legitimacy	Deliberate constitutional ratification process	No comparable constitutional moment for fiscal integration

These differences suggest that European fiscal integration would be more difficult and more consequential than American fiscal integration in 1790. The diversity of European member states and the size of their governments mean that fiscal union would require more substantial transfers and harder political compromises.

5.4 Implications of the Historical Analysis

The historical analysis implies the following:

If the goal is to preserve the eurozone, European leaders should move deliberately toward Option A, following the logic of the 1790 precedent: mutualize existing debts as part of a constitutional bargain, simultaneously transfer taxation authority to the EU level, and accept the deep political integration this requires.

If deep political integration is unacceptable, the alternative is Option B: strengthen no-bailout commitments credibly, require member states to adopt constitutional fiscal constraints, break bank-sovereign doom loops through regulatory means, and accept greater economic volatility.

What the historical analysis counsels against is continuing indefinitely in the current intermediate state. The American experience from the 1780s through the 1840s suggests that maintaining common monetary institutions without clear resolution of fiscal authority creates persistent problems: uncertainty about fiscal responsibilities impairs market functioning, moral hazard accumulates, economic efficiency suffers, and political legitimacy erodes as citizens cannot identify who is responsible for fiscal outcomes.

6 Conclusion

Incorporating the symmetric competition between state and federal assumption plans in the 1780s changes how we understand American fiscal union. Hamilton's 1790 assumption was not a simple bailout or an act of fiscal generosity. It was the winning move in a strategic competition to establish the federal-dominant equilibrium over the state-dominant equilibrium that many Americans preferred. The discrimination debate and the sinking fund reveal the institutional details through which Hamilton linked assumption to the creation of a deep and credible federal debt market. Congress's refusal to assume state debts in the 1840s then clarified the limits of the 1790 settlement, triggering state-level institutional reforms that completed the fiscal architecture of American federalism.

For Europe, the reformulated narrative implies a genuine choice: move toward deep fiscal integration (the 1790 path) or move toward a more decentralized system with credible no-bailout commitments (the reformed Articles path). The current intermediate arrangement is likely not sustainable indefinitely. The question is whether European leaders will choose their path deliberately or allow events to choose for them.

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